ECONOMICS REPORT - One Group's Fight for Understandable Language

Broadcast date: 4-30-2010 / Written by Mario Ritter

From http://www.unsv.com/voanews/specialenglish/

This is the VOA Special English Economics Report.

Sometimes, financial news can be hard to understand. Here, a former official of Goldman Sachs investment bank explains what his group did before the financial crisis.

JOSH BIRNBAUM: "Our desk began to accumulate short positions, purchasing protection on individual securities through credit default swaps, largely from external C.D.O. managers who asked us to bid for these positions."

Josh Birnbaum was involved in synthetic C.D.O.s. These are really financial bets on whether some asset will gain or lose value. They are at the heart of the government's case against Goldman Sachs for misleading investors. Senator Claire McCaskill described synthetic C.D.O.s during a Senate subcommittee hearing.

CLAIRE MCCASKILL: "Let me just explain in very simple terms what synthetic C.D.O.s are. They are instruments that are created so that people can bet on them."

The purpose of language is to communicate information. But it can often hide meaning. Have you ever agreed to the "terms of use" for a service without reading it all?

Annetta Cheek heads the Center for Plain Language in Silver Spring, Maryland. Her non-profit group has been working for more understandable language in government and business since two thousand four.

She offers one piece of advice for people who receive long, unclear documents.

ANNETTA CHEEK: "If you don't understand something, don't sign it."

This year, the Center for Plain Language is holding its first contest for best and worst language use. The best entry receives a ClearMark award. Confusing language gets a WonderMark award.

One of the WonderMark entries comes from the communications company, Blackberry. Annetta Cheek says the terms of use for a Blackberry are impossible to understand.

Miz Cheek says the health care and finance industries are known for using language that is hard to understand. Health care has made progress. Several industries are competing for this year's ClearMark award. But the financial industry remains a problem.

ANNETTA CHEEK: "Part of the issue with the finance stuff, I think, is if people really understood it, they wouldn't buy it."

Miz Cheek says, since the nineteen nineties, the Securities and Exchange Commission has tried to get financial companies to give clearer product descriptions. This has helped sales.

ANNETTA CHEEK: "As they move more and more of their product descriptions into a plainer format, the ones with the plainer and easier to understand description sold better."

She says government has to be involved in requiring clear language because the marketplace has not dealt with the problem.

And that's the VOA Special English Economics Report written by Mario Ritter. Share your thoughts at www.unsv.com or on Facebook at VOA Learning English. You can also find transcripts and MP3s of our programs. I'm Steve Ember.